FINM3013 Introduction to Financial Derivatives

Chapter 11

Class exercises

Multiple Choice Questions

1. Which of the following creates a bull spread?
   A. Buy a low strike price call and sell a high strike price call
   B. Buy a high strike price call and sell a low strike price call
   C. Buy a low strike price call and sell a high strike price put
   D. Buy a low strike price put and sell a high strike price call

2. A stock price is currently $23. A reverse (i.e short) butterfly spread is created from options with strike prices of $20, $25, and $30. Which of the following is true?
   A. The gain when the stock price is greater that $30 is less than the gain when the stock price is less than $20
   B. The gain when the stock price is greater that $30 is greater than the gain when the stock price is less than $20
   C. The gain when the stock price is greater that $30 is the same as the gain when the stock price is less than $20
   D. It is incorrect to assume that there is always a gain when the stock price is greater than $30 or less than $20

3. Which of the following is true of a box spread?
   A. It is a package consisting of a bull spread and a bear spread
   B. It involves two call options and two put options
   C. It has a known value at maturity
   D. All of the above

4. Which of the following describes a protective put?
   A. A long put option on a stock plus a long position in the stock
   B. A long put option on a stock plus a short position in the stock
   C. A short put option on a stock plus a short call option on the stock
   D. A short put option on a stock plus a long position in the stock

5. When the interest rate is 5% per annum with continuous compounding, which of the following creates a principal protected note worth $1000?
   A. A one-year zero-coupon bond plus a one-year call option worth about $59
   B. A one-year zero-coupon bond plus a one-year call option worth about $49
   C. A one-year zero-coupon bond plus a one-year call option worth about $39
   D. A one-year zero-coupon bond plus a one-year call option worth about $29